

MARKET ANALYSIS

72% Occupied Retail Trade: What a Credit Committee Would Ask Before Lending

A 33,744-sf center in Prairieville trades at 72% leased. The lender's question isn't the price; it's the income gap.

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A source-grounded Light Tower Insight. The complete note follows.

A 33,744-square-foot retail center in Prairieville, Louisiana, trades at 72 percent occupied. The buyer is an East Coast investor. The seller is a local owner. Marcus & Millichap brokered the deal. Those are the facts. The question a credit committee would ask is not what the buyer paid. It is what the lender would underwrite.

At 72 percent occupancy, the property is not stabilized. A lender underwriting this asset would need to decide which income stream to capitalize: the in-place cash flow from 15 suites or the projected cash flow at a higher occupancy assumption. That choice determines loan size, debt yield, and whether the deal pencils at all.

The center was built in 2015 and sits on roughly four acres. It is 15 miles southeast of downtown Baton Rouge, in a suburban growth corridor. The building is young. The location is functional. The occupancy is the constraint.

For the buyer, the trade is straightforward: acquire at a basis that reflects current income, then lease up the vacant suites to create equity value. The buyer is betting on leasing velocity, tenant demand, and rent growth in that submarket. That is a standard value-add retail thesis.

For a lender, the same thesis introduces timing risk. The loan will be sized against the in-place net operating income, not the pro forma. A lender that stretches to underwrite stabilized occupancy is effectively making an unsecured bet on the buyer's leasing ability and the market's absorption rate. Most credit committees will not take that risk without a significant rate premium, a recourse carve, or a reserve for tenant improvements and leasing commissions.

The transaction reveals something about capital availability for retail today. It is not that retail is unfinanceable. It is that the financing is priced for the current income, not the future story. The buyer who wants leverage on the upside must bring equity to cover the gap between today's cash flow and tomorrow's promise.

That gap is the mechanism producing the pressure. At 72 percent occupancy, the property generates roughly three-quarters of its potential net income. A lender applying a 1.25x debt service coverage

ratio to the in-place NOI will produce a smaller loan than one applying the same ratio to a 90 percent occupancy pro forma. The difference is the equity the buyer must contribute or the mezzanine debt the buyer must source.

The cast in this transaction includes the local seller, who chose to exit rather than hold through the lease-up. The East Coast buyer, who sees a basis that allows for upside. And the eventual lender, who will decide how much of that upside to finance. Each party has a different clock. The seller wanted liquidity now. The buyer wants to create value over time. The lender wants to be repaid before the value creation is complete.

For market participants, the implication is specific. If you are an owner of a multi-tenant retail asset with occupancy below 80 percent, your exit options are narrowing. The buyer pool exists, but the debt market will constrain what those buyers can pay. The transaction price will reflect the lender's underwriting, not the buyer's ambition.

If you are a lender, the question is whether to underwrite the asset as it is or as it could be. Underwriting the asset as it is produces a smaller loan but a safer credit. Underwriting the asset as it could be produces a larger loan but introduces execution risk. The credit committee that approves the latter must believe in the buyer's track record, the submarket's leasing fundamentals, and the property's physical appeal.

This deal does not signal a broad thaw in retail lending. It signals that capital is available for assets where the basis is low enough to absorb the occupancy risk. The buyer is not paying for stabilized cash flow. The buyer is paying for the potential to create it. The lender is not financing the potential. The lender is financing the current reality.

The next test for this market is whether the buyer can close the occupancy gap before the loan matures or before the next rate cycle shifts underwriting standards. That is the bet. And it is the same bet every value-add retail buyer makes, with the same risk: leasing takes time, and time costs money.

SOURCES

— Shopping Center Business —

<https://shoppingcenterbusiness.com/marcus-millichap-brokers-sale-of-33744-square-foot-multi-tenant-retail-property-in-metro-baton-rouge-louisiana/>

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